

HURRELL, A and KINGSBURY, B (eds) (1992), *International Politics of the Environment* (Oxford: Clarendon Press). This places environmental issues in their international relations context.

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The principal treaty texts are compiled with useful commentary and guidance for further reading in BIRNIE, P and BOYLE, A (1995), *Basic Documents on International Law and the Environment* (Oxford: Oxford University Press) and in GALIZZI, P, and SANDS, P (2004), *Documents in International Environmental Law* (Cambridge: Cambridge University Press).

Finally, the major cases on international environmental law may be found in ROBB, C (ed), *International Environmental Law Reports* (Cambridge: Cambridge University Press), four volumes to date addressed to early decisions, trade and environment, human rights and environment, and international environmental law in national courts.

WEBSITES

Those searching for access to the web pages of the key environmental treaties will find the UNEP (<http://www.unep.org>) and IMO (<http://www.imo.org>) sites useful gateways.

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INTERNATIONAL INVESTMENT LAW

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SUMMARY

This chapter explores what international investment law is, how it has changed over time, and the state of the law today. In order to do so, it will present the evolution of the law of foreign investment, international efforts to regulate foreign investment, the main principles of the international law of foreign investment governing international economic relations among States, regulation under bilateral investment treaties, free trade agreements and regional trade and investment agreements, and the case law developed by various international courts and tribunals, including the International Court of Justice and the International Centre for the Settlement of Investment Disputes. The aim is to provide an understanding of current and evolving principles of the law of foreign investment, and the interplay between law and politics in regulating foreign investment.

I. INTRODUCTION: WHAT IS INTERNATIONAL INVESTMENT LAW?

International investment law governs relations between foreign investors, including private and State owned companies, and investor-receiving States (known as host States), as well as between investor States and investment receiving States. The law of foreign investment is one of the oldest and most complex areas of international law. Attempts have been made in the last 65 or so years (both within and outside of the UN) to codify and develop rules of international law in a number of areas. Consequently, there is now a sizeable body of treaty law dealing with different areas of international activity. However, there is as yet no single comprehensive treaty on the law of foreign investment. While there is a comprehensive treaty, the 1982 Convention on the Law of the Sea, governing the activities of States in the seas and oceans of the world, there are a number of core international treaties in the fields of human rights and environmental protection that constitute the core body of law in the subjects concerned. However, this is not the case in international investment law. Most of the law of foreign investment is still based on customary international law, which has evolved out of diplomatic exchanges, the jurisprudence of international courts and tribunals, bilateral investment treaties, and a host of 'soft law' instruments

adopted under the auspices of the UN and its specialized agencies. (see generally Dolzer and Schreuer, 2012; Subedi, 2012).

Attempts were made within the UN in the 1970s and 1980s to adopt a comprehensive code of conduct for trans-national corporations. However, when in the early 1990s political and economic events overtook these efforts, the efforts were abandoned. The Organisation for Economic Cooperation and Development (OECD) tried in the late 1990s to conclude a multilateral agreement on investment (MAI), but it too resulted in failure. The World Trade Organization (WTO) then decided to include foreign investment in its agenda for the Development Round of trade negotiations through the Doha Declaration of November 2001. In July 2004 the WTO decided to set aside the project. It was too complex an area also for the WTO, since there existed among the WTO members an unwieldy number of differences of opinion as to the nature, scope and desirability of the conclusion of an international treaty on such a matter under the auspices of the WTO.

However, the absence of a global comprehensive treaty on foreign investment does not mean that there is no identifiable or generally accepted body of law regulating foreign investment. To begin with, there is a set of generally accepted rules of international law providing protection to foreign investors. Next are thousands of bilateral investment treaties (BITs) or free trade agreements (FTAs) (which include substantial and substantive provisions dealing with investment) as well as regional trade and investment treaties that regulate foreign investment, provide protection for foreign investment and include a dispute resolution mechanism. Finally, there is a burgeoning body of case law of international courts and tribunals that have fleshed out the provisions in both customary international law and treaty law.

II. EVOLUTION OF INTERNATIONAL INVESTMENT LAW

Since time immemorial people have travelled abroad to invest and to engage in business. When European traders began to sail to Asia, Africa, and Latin America to trade with the people in local communities, it was held that the local law could not be applied to the traders since they were already subject to the law of their respective home countries. This argument was based on the assumption that the businessmen carried the law of the country of their nationality with them wherever they went and were thus not subject to the local law. Foreigners coming from European countries sought special and superior treatment from the local population in much of Asia, Africa and Latin America. The implication of this attitude was that their assets could not be expropriated or nationalized through legislation enacted by the local population. Since local law was 'inferior', it could not apply to the foreigners who were subject to the 'superior' body of law of their home countries.

Thus, in the early years of the development of the law of foreign investment it was understood that no State could expropriate or nationalize foreign assets. States could not invoke national laws as a reason for avoiding their international obligations arising from the notion of an international minimum standard. Only in the next phase of development when the number of independent States grew did it come to be accepted that States could expropriate the assets of foreigners under narrowly defined conditions and against the payment of compensation.

A. NATIONAL TREATMENT V THE INTERNATIONAL MINIMUM STANDARD

When colonial territories began to gain independence, they started to challenge the concept that foreigners residing and conducting business in those countries could not be governed by the local law. Relying on the doctrine of sovereignty and sovereign equality, they asserted that every sovereign State had the right to expropriate or nationalize foreign assets provided that the foreign investor was provided with compensation. The very notion of sovereignty meant that foreigners residing within the national borders of the country were subject to the law of the land. For instance, Article 9 of the Convention on the Rights and Duties of States (one of the first international instruments to support the idea of national treatment), signed at the Seventh Pan-American Conference, provided that:

The jurisdiction of states within the limits of national territory applies to all the inhabitants. Nationals and foreigners are under the same protection of the law and the national authorities and the foreigners may not claim rights other or more extensive than those of the nationals.¹

The Latin American countries were the first group of States to gain independence from their colonial rulers. After independence these States began to assert that foreign investors were not entitled to any greater protection than those accorded to the nationals of the country, under the law of the land. If the host States treated foreign investors on a par with the nationals of the country, the host States were acting within the norms of international law. Consequently, the right to expropriate the assets of foreign companies with compensation was accepted as an appropriate corollary to State sovereignty. However, it was submitted that if the local law were considered not well developed, or it failed to meet the standards of justice and equity, the international minimum standard rather than national law would apply to foreign investors. The assertion was that as international law provided for the international minimum standard, all States had to conform to the international minimum standard by bringing their national laws up to this standard. Consequently, the focus was on interpreting what constituted the international minimum standard (Oppenheim, 1992, pp 931–5).

One of the advocates of applying an international minimum standard to the question of the treatment of aliens (including foreign investors) was Elihu Root. He was a leading American international lawyer who in 1910 argued that there existed a standard of justice that formed a part of international law. Any national law dealing with the treatment of aliens had to conform to this general international standard:

If any country's system of law does not conform to that standard, although the people of the country may be content or compelled to live under it, no other country can be compelled to accept it as furnishing a satisfactory measure of treatment to its citizens.²

A prominent British international lawyer, Schwarzenberger, added his voice in support of this argument:

The national standard cannot be used as a means of evading international obligations under the minimum standard of international law. Even if the standard of national treatment is laid down in a treaty, the presumption is that it has been the intention of the parties to secure

¹ The Convention on the Rights and Duties of States (Montevideo Convention, 1933), 165 LNTS 19. For text see (1976) 70 *AJIL* 445.

² Root, 1910, pp 521–2.

to their nationals in this manner additional advantages, but not to deprive them of such rights as, in any case, they would be entitled to enjoy under international customary law or the general principles of law recognised by civilised nations.³

Scholarly views such as these have been supported by the decisions of international courts and tribunals. For instance, in the *Barcelona Traction* case, the International Court of Justice (ICJ) stated that:

When a state admits into its territory foreign investments of foreign nationals, whether natural or juristic persons, it is bound to extend to them the protection of the law and assumes obligations concerning the treatment to be afforded them.⁴

When it was submitted that the international minimum standard rather than national law was applicable to foreign investment, an attempt was made to define the international minimum standard in the light of the general principles of justice and equity, the practice of States on the treatment of foreign investment, and the existing rules of both conventional and customary international law of human rights. In other words, human rights principles, including the right to property, were also invoked to define what constituted the international minimum standard. Under the evolving principles of international human rights law, every individual, both physical and juridical and whether national or alien, residing within any country, was entitled to their basic human rights (including property rights) as protected by law. Consequently, when it came to defining what constituted the minimum international standard, not only the law of foreign investment, but also the law of human rights (including the property rights of the individuals, whether national or alien) had to be taken into account (Borchard, 1940, p 445).

B. THE CALVO DOCTRINE

Those who were opposed to accepting the law of the investor countries in the name of the international minimum standard were of the view that no State should be required to offer greater protection to foreign investors than that accorded to its own nationals. There had to be equality of treatment. If the State in question were not discriminating against foreign investors, it was not violating any rules of customary international law. The argument was that to accord a higher standard of treatment to foreign investors would be difficult for some countries, such as those which are newly independent, have not attained the level of economic development required or have not acquired a developed legal system.

At the forefront of the argument in favour of national treatment of foreign investors and the right of States to expropriate the assets of foreign companies was a leading nineteenth-century Latin American jurist, Carlos Calvo of Argentina, who articulated the position dependent on the doctrine of economic sovereignty of States in the following terms:

It is certain that aliens who establish themselves in a country have the same right to protection as nationals, but they ought not to lay claim to a protection more extended. If they suffer any wrong, they ought to count on the government of the country prosecuting the delinquents, and not claim from the state to which the authors of the violence belong any pecuniary indemnity.

³ Schwarzenberger, 1957, p 248.

⁴ *Barcelona Traction, Light and Power Company, Limited, Second Phase, Judgment, ICJ Reports 1970*, p 3, para 33.

The rule that in more than one case it has been attempted to impose on American states is that foreigners merit more regard and privileges more marked and extended than those accorded even to the nationals of the country where they reside. The principle is intrinsically contrary to the law of equality of nations.⁵

The central element of the Calvo doctrine was to require that aliens submit disputes arising in a country to that country's courts. As deduced by Verwey and Schrijver (1984, p 23), the Calvo doctrine basically stipulates that the principle of territorial sovereignty of the State entails the principle of absolute equality before the law between nationals and foreigners, the exclusive subjection of foreigners and their property to the laws and juridical regimes of the State in which they reside or invest, and strict abstention from interference by other governments, notably the governments of the States of which the foreigners are nationals, in disputes arising over the treatment of foreigners or their property (ie abstention from diplomatic protection). In simple terms, according to the Calvo doctrine land and other natural resources belong to the State by virtue of the doctrine of sovereignty and no foreign entity can permanently own land in the host States.⁶

C. THE HULL FORMULA

After the Communist Revolution in Russia in 1917 and the agrarian revolution in Mexico at around the same time, the governments of these countries proclaimed State ownership of land. The assets of foreign companies were expropriated and nationalized without proper compensation, through invoking the sovereignty of States. The actions of the Soviet and Mexican governments were opposed by the Western States, who held the view that although sovereign States had the right to expropriate the assets of foreign companies, they could do so only under certain narrowly defined conditions stipulated in international law and especially under prompt, adequate and effective compensation.

After years of negotiations a bi-national claims commission was established in 1927 between the USA and Mexico to consider the claims of those US foreign investors whose assets (mainly land) had been expropriated by Mexico. However, since not a single claim had been adjusted or paid by 1938, the USA in that year intensified its diplomatic efforts. The US Secretary of State, Cordell Hull, began a series of diplomatic exchanges with the Mexican government; the content of these diplomatic exchanges, in which Hull articulated the US views on compensation, came to be known as the 'Hull formula' in the international law of foreign investment. Outlining the US position on the issue of expropriation and the nature of compensation under international law, Secretary Cordell Hull stated that the taking of property without compensation was not expropriation: it was confiscation. He went on to state that:

If it were permissible for a government to take the private property of the citizens of other countries and pay for it as and when, in the judgment of that government, its economic circumstances and local legislation may perhaps permit, the safeguards which the constitutions of most countries and established international law have sought to provide would be illusory. Governments would be free to take property far beyond their ability or willingness to pay, and the owners thereof would be without recourse. We cannot question the right of a foreign government to treat its own nationals in this fashion if it so desires. This is a matter of domestic concern. But we cannot admit that a foreign government may take the property

⁵ Translated and quoted from Calvo's work which was written in Spanish by Shea, 1995, pp 17-19.

⁶ See, generally, Lipstein, 1945; Freeman, 1946.

of American nationals in disregard for the rule of compensation under international law. Nor can we admit that any government unilaterally and through its municipal legislation can, as in this instant case, nullify this universally-accepted principle of international law, based as it is on reason, equity and justice.

However, the Mexican Foreign Minister disagreed with Hull's views on international law applicable to the subject-matter. He replied by stating that there was in international law:

[N]o rule universally accepted in theory nor carried out in practice, which makes obligatory the payment of immediate compensation nor even of deferred compensation, for expropriations of a general and impersonal character like those which Mexico has carried out for the purpose of redistribution of the land.

Rejecting the arguments advanced by the Mexican Foreign Minister and his interpretation of the status of foreign investment in international law, Secretary Hull responded in the following terms:

The Government of the United States merely adverts to a self-evident fact when it notes that the applicable precedents and recognised authorities on international law support its declaration that, under every rule of law and equity, no government is entitled to expropriate private property, for whatever purpose, without provision for prompt, adequate and effective payment thereof. In addition, clauses appearing in the constitutions of almost all nations today, and in particular in the constitutions of the American republics, embody the principle of just compensation. These, in themselves, are declaratory of the like principles in the law of nations.⁷

In his response the Mexican Foreign Minister rejected Secretary Hull's assertion and justified the Mexican expropriations as being a move designed to achieve social justice in the country. However, just before the Second World War spread to the Western hemisphere, Mexico and the USA reached an agreement to establish a commission to determine the compensation for the US nationals affected by the Mexican agrarian expropriations that took place after 30 August 1927. A deal designed to compensate the US investors was struck between the two countries.

III. THE EFFORTS TO REGULATE FOREIGN INVESTMENT BY THE UN

The attempt to regulate foreign investment immediately after the establishment of the UN was a fundamental struggle between the defenders of the old law and the proponents of the new. The area of conflict lay between the sanctity of the existing agreements and the attempt to rewrite the law by introducing certain new principles, such as the permanent sovereignty of States over their natural resources. With the establishment of the UN, a new world order, both economic and political, was envisaged for the world. While the UN was seen primarily as a political body, the World Bank and the International Monetary Fund were established as financial and monetary institutions respectively. Part of this grand vision for a new world order was the establishment of an international organization

dealing with international trade. Accordingly, a UN conference on Trade and Employment was held at Havana, Cuba, between 21 November 1947 and 24 March 1948.

The draft Havana Charter submitted to the Conference contained no provision on regulating foreign investment. One of the reasons for this deliberate omission seems to have been the fear on the part of the USA that investment provisions negotiated at a multilateral conference might express the lowest common denominator of protection to which any of the participants would be willing to agree. Nevertheless, when a chapter on economic development was added to the initial draft Charter proposed by the USA, a number of provisions making reference to foreign investment were included. In the end, the Charter itself never came into effect due, *inter alia*, to the US decision to abandon it in 1950. The States participating in the Havana Conference had decided, through Chapter VII of the Charter, to establish the International Trade Organization (ITO) whose functions could have included making recommendations for and promoting bilateral and multilateral agreements on measures designed 'to assure just and equitable treatment for the enterprise, skills, capital, arts and technology brought from one member country to another'.⁸ However, the ITO itself never came into existence and the Charter remained merely a document of historical interest.

A. PERMANENT SOVEREIGNTY OF STATES OVER THEIR NATURAL RESOURCES

When the colonial territories of Asia, Africa and other parts of the world gained political independence their priority was to assert economic independence. Many newly independent States had inherited a situation under which the natural resources of the country were controlled or being exploited by foreign companies under concessions or other agreements concluded by the previous colonial administration. The people of the newly independent States had their hopes of a better standard of living; the political leaders had to strive hard to realize these hopes. When looking around for means of economic development, one of the first actions these States could take was to devise a policy to utilize the natural resources of the country for the benefit of the people. However, the newly independent States relied on the doctrine of economic sovereignty to claim permanent sovereignty of States over their natural resources, since such natural resources were being exploited by foreign companies under the existing concessions and other agreements. The idea was that once the permanent sovereignty of States over their natural resources (PSNR) was acknowledged, sovereign States would be able to negotiate their way out of the old agreements and concessions.

While the well-established principle expressed in the maxim *pacta sunt servanda* (ie treaties must be respected in good faith) of the law of treaties required States to respect the sanctity of the existing agreements, an equally (if not more) powerful doctrine of international law had to be deployed to allow States to take back the control over their natural resources into their own hands. To this end, the doctrine of PSNR was claimed, relying on one of the most powerful doctrines of international law—the sovereignty of States. It was an attempt not to rewrite the law completely, but to give a new direction to the law of foreign investment on the basis of certain rules of public international law, including economic sovereignty and the right to the self-determination of States. Indeed, without achieving economic sovereignty States would not be fully sovereign. Although these States could also invoke the right to expropriate the assets of foreign companies, this right is

⁷ See the correspondence between the US and Mexican Foreign Secretaries in (1938) 32 *AJIL* supp 181–207.

⁸ Havana Charter (1948), Article 11(2)(a).

limited in scope, is technical in character, and comes with a number of conditions: it would not have allowed States to achieve full economic sovereignty *vis-à-vis* their natural resources. Rather, the idea was to strengthen and expand, *inter alia*, the right not only to expropriate the assets of foreign investment, but also other rights of States flowing from the doctrine of sovereignty through the principle of PSNR.

It was against this background that the General Assembly adopted Resolution 1803 (XVII), on 14 December 1962, on the Permanent Sovereignty of States over their Natural Resources. The resolution provides, *inter alia*, that:

1. The right of peoples and nations to permanent sovereignty over their natural wealth and resources must be exercised in the interest of their national development and of the well-being of the people of the state concerned;
2. The exploration, development and disposition of such resources, as well as the import of the foreign capital required for these purposes, should be in conformity with the rules and conditions which the peoples and nations freely consider to be necessary or desirable with regard to the authorisation, restriction or prohibition of such activities;
3. In cases where authorisation is granted, the capital imported and the earnings on that capital shall be governed by the terms thereof, by the national legislation in force, and by international law. The profits derived must be shared in the proportions freely agreed upon, in each case, between the investors and the recipient state, due care being taken to ensure that there is no impairment, for any reason, of that state's sovereignty over its natural wealth and resources;
4. Nationalisation, expropriation or requisitioning shall be based on grounds or reasons of public utility, security, or the national interest which are recognised as overriding purely individual or private interests, both domestic and foreign. In such cases the owner shall be paid appropriate compensation, in accordance with the rules in force in the state taking such measures in the exercise of its sovereignty and in accordance with international law. In any case where the question of compensation gives rise to a controversy, the national jurisdiction of the state taking such measures shall be exhausted. However, upon agreement by sovereign states and other parties concerned, settlement of dispute should be made through arbitration or international adjudication.⁹

Thus, Resolution 1803 of the General Assembly sought to strike a balance between the interests of both the hosts' and the investors' home countries by incorporating into one single instrument the issues of vital concern for both of these groups of States. For instance, when outlining principles applicable to the nationalization or expropriation of foreign investment, the Resolution conforms neither to the Hull formula nor to the Calvo doctrine, yet contains elements of both. While it seeks to limit the conditions under which nationalization or expropriation can take place, it lists enough conditions to enable a country to embark upon nationalization and expropriation when necessary. It speaks of appropriate compensation rather than of prompt, adequate and effective compensation, and of remaining in accordance with international law. Although the principle of PSNR represented an attempt to develop certain new rules in favour of the developing countries on the basis of the extant and evolving rules of international economic law, it was accepted by the international community with little opposition from any quarter. Indeed, the UN

General Assembly Resolution to this effect has been regarded as a good compromise between the developed and developing countries, stating the law acceptable to both sides. This principle has in some decisions of international courts and tribunals been regarded as reflecting customary international law. Thus in the *Texaco v Libya* case, for example, the arbitrator held that Resolution 1803 reflected the state of customary international law existing in this field.¹⁰

B. THE CONCEPT OF A NEW INTERNATIONAL ECONOMIC ORDER

When the developing countries gained a numerical majority in the UN, they sought to use the UN system to introduce a much more fundamental reform of the law governing international economic relations among States. The developing countries introduced the agenda of a new international economic order (NIEO) within the UN as they were encouraged and influenced by the oil crisis of the early 1970s and disappointed at the lack of progress in addressing the issues of economic equality and prosperity for all. One of the items on the agenda was concerned with regulating foreign investment in a manner more favourable to developing countries (Hossain, 1980). Accordingly, the UN General Assembly adopted a Declaration on the Establishment of a New International Economic Order,¹¹ and a Programme of Action on the implementation of the Declaration.¹²

Article 4 of the Declaration listed the principles on which the NIEO had to be founded. One included in sub-Article (e) relates to the question of PSNR and the issue of expropriation and nationalization. It recognized the 'full permanent sovereignty of every State over its natural resources and all economic activities.' It went on to add that:

In order to safeguard these resources, each state is entitled to exercise effective control over them and their exploitation with means suitable to its own situation, including the right to nationalisation or transfer of ownership to its nationals, this right being an expression of the full permanent sovereignty of the state. No state may be subjected to economic, political or any other type of coercion to prevent the free and full exercise of this inalienable right.

As part of the drive for an NIEO, and in order to restructure the legal order for the world economy, the General Assembly adopted the Charter of Economic Rights and Duties of States on 12 December 1974.¹³ The Charter of Economic Rights and Duties of States is perhaps the most comprehensive international instrument outlining the economic rights and duties of States. However, it is not a 'hard law' instrument, since it was adopted by means of a General Assembly resolution and the powers of the General Assembly are limited by the UN Charter to the making of recommendations. Moreover, it was adopted by a vote of 120 in favour, with six against and ten abstentions (see Chatterjee, 1991). Thus, although it is an instrument of limited legal significance, it was seen as an instrument of far-reaching implications by a vast majority of States who voted in favour of the resolution of the General Assembly; it has since its adoption had a measure of influence on the development of international legal order. For instance, in the *Texaco v Libya* case

¹⁰ *Texaco Overseas Petroleum Co v Libyan Arab Republic*, Arbitral Award (1977), 53 ILR 389, para 87. For similar views see *Kuwait v American Independent Oil Co ('Aminoil' case)* (1982), 66 ILR 518; 21 ILM 976, paras 143, 144.

¹¹ GA Res 3201(S-VI) (1 May 1974). ¹² GA Res 3202 (S-VI) (1 May 1974).

¹³ GA Res 3281 (XXIX) (12 December 1974).

⁹ GA Res 1803 (XVII) (14 December 1962). For the record of its adoption see UN Doc A/C.2/SR.835.

the arbitrator was not prepared to accept that this provision of CERD reflected customary international law.¹⁴

C. THE UN DRAFT CODE OF CONDUCT FOR TRANS-NATIONAL CORPORATIONS

The NIEO resolutions cited earlier in B The Concept of a New International Economic Order had called for the adoption of two codes of conduct: one on the transfer of technology and another on the regulation of trans-national corporations (TNCs). One of the achievements of the NIEO bandwagon was the establishment in 1974 of the UN Commission on Trans-national Corporations (CTC) by the Economic and Social Council to consider proposals for the regulation of multinational enterprises.¹⁵ The activities of the CTC were linked to the efforts to realize the ideals of the NIEO. Much of the debate throughout the 1970s and 1980s focused on the content of a code of conduct for TNCs and whether it should be a voluntary or a mandatory code of conduct (see Horn, 1980). When the CTC in 1988 finally formulated a draft code of conduct for TNCs it became clear that there remained so many areas of major disagreement among States that the CTC itself seemed resigned to the possibility of adopting an internationally-agreed code. Consequently, through a letter of 31 May 1990 to the President of the ECOSOC,¹⁶ the Chairman of the reconvened special session of the CTC forwarded the Draft Code of conduct.¹⁷ In sum, nothing much came out of this endeavour as the world moved on in the aftermath of the events of 1989–90; then, the economic and political landscape of the world was transformed by the collapse of the Soviet Union, the demise of Communism in Europe, the fall of the Berlin Wall, and the consequent and subsequent disarray in Third World solidarity.

IV. THE INVOLVEMENT OF OTHER ACTORS

As seen in the preceding paragraphs, the failings of the UN to offer a final or definitive word on foreign investment law left the door open for other actors to enter the stage. Some of the international bodies that tried to become involved are the World Bank, the OECD, the WTO and the Human Rights Council.

A. THE ROLE OF THE WORLD BANK

The World Bank has had a long-standing interest in promoting foreign investment for economic development and has associated itself with a number of initiatives in this area. Among the initiatives are: the Convention for the Settlement of Investment Disputes of 1965; the Convention Establishing the Multilateral Investment Guarantee Agency of 1985, and the 1992 Guidelines on the Treatment of Foreign Direct Investment (see Shihata, 1991).

1. The International Convention on the Settlement of Investment Disputes

Foreign investors wish to have legal certainty when making investment decisions. One of those certainties is to have a credible mechanism for the settlement of investment

disputes. The perceived wisdom is that if foreign private investors are assured that, in the event of a dispute between them and the State in question, the dispute can be referred to an independent international tribunal, they would be encouraged to invest in that State. Foreign investors would generally be unwilling to invest in countries where the judiciary is not fully independent and the political situation is unstable. However, such investors would be encouraged to invest in such States if the State in question has agreed through an international agreement to settle any investment dispute with potential foreign investors. Accordingly, the International Convention on the Settlement of Investment Disputes between States and nationals of other States (ICSID) was concluded in 1965 (see Schreuer, 2001). Its aim was of establishing an international centre for the settlement of investment disputes and encouraging States to refer investment disputes with foreign private investors to an international arbitration tribunal. Under this Convention, the Bank is the host of the International Centre for the Settlement of Investment Disputes, which is similar in many respects to other international arbitration centres in existence. Under Article 25(1) the jurisdiction of the Centre is as follows:

The jurisdiction of the centre shall extend to any legal dispute arising directly out of an investment, between a contracting state (or any constituent subdivision or agency of a contracting state designated to the centre by that state) and a national of another contracting state, which the parties to the dispute consent in writing to submit to the centre. When the parties have given their consent, no party may withdraw its consent unilaterally.

The provision in Article 42(1) is perhaps one of the most important ones because it stipulates the law applicable to a dispute submitted to the arbitration tribunal of the ICSID Centre:

The Tribunal shall decide a dispute in accordance with such rules of law as may be agreed by the parties. In the absence of such agreement, the Tribunal shall apply the law of the contracting state party to the dispute (including its rules on the conflict of laws) and such rules of international law as may be applicable.

The adoption of the ICSID signalled that other positive developments relating to the law of foreign investment could also take place outside of the UN framework and away from politics.

2. The Multilateral Investment Guarantee Agency

In addition to legal certainty, potential foreign investors need some sort of guaranteed protection of their investment when they invest in developing countries. Many individual developed countries have their own respective internal systems of investment guarantee for those investing in developing countries and investment risks could also be covered through private insurance, yet it was thought desirable to have an international system of investment guarantee against non-commercial risks, such as expropriation, nationalization and other political risks.

This would be in order to promote foreign investment in general and private foreign investment in particular. Of course, protection was available to foreign investors under bilateral investment treaties, international law principles relating to the treatment of foreign investment, and diplomatic channels; however, it was considered desirable to have an additional mechanism designed to alleviate concerns related to non-commercial risks. This would promote the flow of foreign investment to developing countries. Therefore, as a measure complementary to already existing national and regional investment guarantee programmes and to private insurers of non-commercial risks, as well as supplementary

¹⁴ *Texaco Overseas Petroleum Co v Libyan Arab Republic*, Arbitral Award (1977), 53 ILR 389, para 88.

¹⁵ ECOSOC Resolutions 1908 (LVII) (2 August 1974) and 1913 (LVII) (5 December 1974).

¹⁶ UN Doc E/1990/94 (12 June 1990). ¹⁷ UN Doc E/1988/39/Add1.

to the activities of the World Bank Group, the Convention Establishing the Multilateral Investment Guarantee Agency (MIGA) was in 1985 adopted.

3. The 1992 Guidelines on the Treatment of Foreign Direct Investment

As stated earlier, the promotion of foreign investment has long been an area of interest for the World Bank. It was joined by the MIGA, whose constituent document states that it is supposed to carry out research, undertake activities to promote investment flows, and disseminate information on investment opportunities in developing member countries. Accordingly, the Development Committee, a joint committee of the World Bank and the International Monetary Fund (IMF) in 1991 requested the MIGA to prepare a 'legal framework' to promote foreign direct investment. In 1992, the Development Committee adopted a set of Guidelines on the Treatment of Foreign Direct Investment.¹⁸ It should be noted here that neither the Bank nor the IMF nor the MIGA has the competence to adopt any legally binding instrument for the international community, nor to modify the existing rules of international law on the subject-matter. Strictly speaking, these organizations lack the capacity even to adopt 'soft law' instruments for the international community. Nevertheless, the document adopted as a result of the work carried out under the auspices of these three important financial organizations does carry certain weight and thus merits examination.

B. THE OECD GUIDELINES AND THE MULTILATERAL AGREEMENT ON INVESTMENT

The 1976 Declaration of the OECD on International Investment and Multinational Enterprises includes Guidelines for Multilateral Enterprises. As a next step in consolidating the rules governing foreign investment protection, the OECD in 1998 sought once again to conclude a multilateral agreement on investment (MAI).¹⁹ However, the OECD attempt was abandoned when the draft MAI came under criticism from some member States and civil society for not being a balanced document that would protect the interests of both foreign investors and investor-receiving countries. After failing in its attempt to adopt a legally binding MAI, the OECD in 2000 adopted a set of revised guidelines for multinational enterprises (MNEs).²⁰ The OECD issued new updated Guidelines in 2011. They provide non-binding principles and standards for responsible business conduct in a global context consistent with applicable laws and internationally recognized standards. The updated Guidelines and the related Decision were adopted by the 43 adhering governments on 25 May 2011 at the OECD's 50th Anniversary Ministerial Meeting. The updated Guidelines include:

- a new human rights chapter which is consistent with the Guiding Principles on Business and Human Rights: Implementing the United Nations 'Protect, Respect and Remedy' Framework;
- a new and comprehensive approach to due diligence and responsible supply chain management representing significant progress relative to earlier approaches;

- important changes in many specialised chapters, such as on Employment and Industrial Relations; Combating Bribery, Bribe Solicitation and Extortion, Environment, Consumer Interests, Disclosure and Taxation;
- clearer and reinforced procedural guidance to strengthen the role of the National Contact Points (NCPs) improve their performance and foster functional equivalence; and
- a proactive implementation agenda to assist enterprises in meeting their responsibilities as new challenges arise.²¹

This was an attempt to reconcile investment protection with other competing principles of international law, including environmental protection. This was also one of the first major attempts to give some practical meaning to the UN 'Guiding Principles on Business and Human Rights: Implementing the UN "Protect, Respect and Remedy" Framework' developed by the UN Special Representative on business and human rights, Professor John Ruggie, to be discussed later in section D.

C. THE WTO AND FOREIGN INVESTMENT

After the failures of the OECD and the CTC of the UN to formulate a balanced and comprehensive set of standards on foreign investment, efforts were made by the EU at the Doha Ministerial Conference. Although efforts had been made during various GATT Rounds of Trade Negotiations to include investment onto the international trade agenda and the WTO itself had since 1997 been engaged in analysis and debate about the relationship between international trade and investment, it was only at the Doha conference that the WTO committed itself to including investment as part of its main agenda.²² However, when the State members of the WTO met in July 2004 to agree on the work programme for the Doha Development Round, they too decided to set aside the idea of negotiating an international agreement on foreign investment under the auspices of the WTO. A decision taken by the General Council of the WTO on 31 July 2004, known as the 'July Package', stated that a number of issues, including the relationship between trade and investment, would not form part of the Work Programme of the Doha Development Round.²³

Thus, the idea of adopting an international treaty regulating foreign investment was, once again, effectively removed from the scope of action of an inter-governmental body for the time being. Having said this, the 1994 TRIMS Agreement of the WTO does deal with certain aspects of foreign investment. It prohibits governments from requiring foreign investors to purchase inputs locally or to sell their output domestically rather than exporting it.²⁴

D. THE UN HUMAN RIGHTS COUNCIL

Although the UN itself is not at present actively engaged in efforts to regulate foreign investment as such, some of its agencies, such as the UN Human Rights Council, are looking

¹⁸ *Legal Framework for the Treatment of Foreign Investment, Volume II: Guidelines* available at http://www-wds.worldbank.org/servlet/WDSCContentServer/WDSP/IB/1999/11/10/000094946_99090805303082/Rendered/PDF/multi_page.pdf.

¹⁹ OECD DAFEE/MAI (98)7/REV1 (22 April 1998, footnotes omitted).

²⁰ 40 ILM 237 (2000).

²¹ *Guidelines for Multinational Enterprises: 2011 edn.* available at <http://dx.doi.org/10.1787/9789264115415-en>.

²² WT/MIN(01)/DEC/W/1 (14 November 2001).

²³ WT/GC/W/535 (1) (31 July 2004).

²⁴ See World Trade Organization, 1999, pp 143–6 at 146.

at the interaction between business and human rights. The UN Special Representative on the Issues of Human Rights and Trans-national Corporations and Other Business Enterprises, appointed by the Secretary-General, submitted a series of reports on business and human rights. In March 2011, he submitted his final report to the UN Human Rights Council, appending a document entitled, 'Guiding Principles on Business and Human Rights: Implementing the United Nations "Protect, Respect and Remedy" Framework'²⁵ containing a set of 31 standards to support the implementation of the UN 'Protect, Respect and Remedy' policy framework and in June 2011 the UN Human Rights Council unanimously endorsed the Guiding Principles.²⁶

The UN Special Representative identified three core principles: 'the state duty to protect against human rights abuses by third parties, including business; the corporate responsibility to respect human rights; and the need for more effective access to remedies.' He argued that the State had a duty to protect because it lies at the very core of the international human rights regime and the corporate responsibility entailed respecting human rights by companies because it is the basic expectation society has of business. Although this UN document is not legally binding, its endorsement by the Human Rights Council has established the Guiding Principles as the authoritative global reference point for business and human rights. When it endorsed the Guiding Principles, the Human Rights Council also established a Working Group composed of five independent experts on business and human rights to promote the implementation of the Guiding Principles, as well as an annual forum on business and human rights under the guidance of the Working Group.

V. GENERAL PRINCIPLES OF THE INTERNATIONAL LAW OF FOREIGN INVESTMENT

A. CUSTOMARY INTERNATIONAL LAW

On the basis of the foregoing account of the evolution of international law, it can be submitted that certain aspects of the law on regulating foreign investment are settled in international law. In addition to the Calvo doctrine and the Hull formula governing expropriation, there are a number of other principles deeply rooted in international law and practice that govern the relations among nations concerning foreign investment. Accordingly, among the settled rules of customary international law on foreign investment the following are the major principles:

1. Host States are entitled to expropriate or nationalize the assets of foreign companies, but expropriation or nationalization can take place only if the following four main conditions are met: (a) it must be for a public purpose; (b) it must be non-discriminatory; (c) it must be against fair and equitable compensation, and (d) it must be in accordance with the law.
2. The compensation must be equivalent to the fair market value of the investment expropriated, immediately before the expropriation or before the impending expropriation became public knowledge, whichever is the earlier, shall include interest

at a commercially reasonable rate until the date of payment, shall be made without unreasonable delay, be effectively realizable, and be freely transferable.

3. The affected investor has the right, in conformity with the laws of the host State that makes the expropriation, to the prompt review, by a judicial or other independent authority of that State, of its case, in order to decide if the expropriation and assessment of its investment have been adopted pursuant to the principles of international law.
4. Foreign investors and their investment enjoy the protection of the principle of non-discrimination;
5. They should be accorded the most-favoured-nation treatment (MFN);
6. Once admitted into the country foreign investors are entitled to national treatment; and
7. Foreign investors enjoy the protection accorded under the principle of fair and equitable treatment.
8. Non-discriminatory regulatory measures by a host that are designed and applied to protect legitimate public welfare objectives including the protection of health, safety and environment do not constitute expropriation or nationalization; except in rare circumstances, where those measures are so severe that they cannot be reasonably viewed as having been adopted and applied in good faith for achieving their objectives.
9. Actions and awards by judicial bodies of a host State that are designed, applied or issued in public interest including those designed to address health, safety and environmental concerns, do not constitute expropriation or nationalization.
10. Multinational companies have a duty to respect human rights in the countries where they do their business.

Ensuring non-discrimination in the conduct of international business is the underlying idea behind these principles. They are employed in international practice to secure a certain level of treatment for foreign investment in host countries. The purpose of the MFN principle is to grant foreign investors treatment comparable to the foreign investors from third countries operating in the host country, but the object of the national treatment principle is to grant treatment comparable to domestic investors operating in the host country itself. The principle of fair and equitable treatment brings in the elements of fairness and equity drawn from international law, especially the principle of international minimum standard, and practice as well as municipal law principles in the overall treatment of foreign investment in a host country. The problem with this principle is that it is difficult to define in concrete terms and is open to different interpretations. The precise meaning of the phrase 'fair and equitable treatment' has been the subject of interest and often controversy both in literature and in the case law dealing with the treatment of foreign investment.

B. THE BILATERAL INVESTMENT TREATIES

States have traditionally welcomed foreign investment for a variety of reasons. Foreign investment has been regarded as an engine of economic growth, a source of foreign currency income, a stimulator of the local economy, and a source of foreign skills, information and know-how, among other features. Foreign investment takes place in different forms, including, through committing capital resources abroad either directly or through portfolio investment, by licensing the use of technology, and managerial know-how.

²⁵ UN Doc A/HRC/17/13 (21 March 2011).

²⁶ UN Doc A/HRC 17/14 (6 June 2011).

Because of the form such investment takes, it requires special protection under the law of the country concerned. This is because foreigners who purchase land and other immovable property or enter into joint ventures to create a new company cannot leave the host country as and when they want. Their commitment to the host country is long-term, hence the need for long-term protection under special laws. Traditionally, such protection has been sought under international law and lately under bilateral investment treaties (BITs).

1. The Origins of Bilateral Investment Treaties

Unlike local laws on foreign investment, which can also offer adequate protection and incentives to foreign investors but are liable to change with a change of government, no State can unilaterally change international law or the provisions of BITs. Such treaties are of long duration, usually ten years, with a provision for automatic renewal unless and until the contracting parties agree otherwise. The formal safeguards and guarantees that BITs provide on non-commercial risks have acted as an incentive to potential investors and as a useful reassurance to those with existing investments in the signatory States. Therefore, when it comes to promoting foreign investment, States have sought additional safeguards and guarantees under international law; BITs are designed to set standards of protection. Any protection provided for foreign investment is always under the law of the host country; however, this law has to conform to the commitments undertaken by the State concerned either under BITs, FTAs or other principles of international law, or under all.

A bilateral investment treaty is a relatively recent phenomenon, a German development perfected over the years by the USA and the UK. Initially, BITs were seen as a challenge to international efforts by developing countries in order for them to regulate foreign investment through an international instrument adopted under the auspices of the UN. The Federal Republic of Germany was the first country to conclude BITs with certain developing countries in order to protect German investment in these countries. Outlining the utility of a BIT, a Presidential communication to Congress stated the main US objectives in the conclusion this BIT in the following words:

Investment of nationals and companies of one Party in the territory of the other Party (investments) receive the better of the treatment accorded to domestic investments in like circumstances (national treatment), or the treatment accorded to third country investments in like circumstances (most-favoured-nation (MFN) treatment), both on establishment and thereafter, subject to certain specified exceptions;

- Investments are guaranteed freedom from performance requirements, such as obligations to use local products or export goods;
- Companies which are investments may hire top managers of their choice, regardless of nationality;
- Expropriation can occur only in accordance with international law standards: in a non-discriminatory manner; for a public purpose; and upon payment of prompt, adequate, and effective compensation;
- Investment-related funds are guaranteed unrestricted transfer in a freely usable currency; and
- Nationals and companies of either Party, and their investments, have access to binding international arbitration in investment disputes with the host government, without first resorting to domestic courts.²⁷

²⁷ US Treaty Doc 103-2, Focus – 32 of 48 Documents, 1991 UST LEXIS 176.

These are the main reasons why States conclude BITs with other countries and especially those in which their nationals have made foreign direct investment or are likely to invest. The BITs offer an added layer of protection to the regime of protection already in existence by virtue of customary international law or other treaties existing between the countries concerned.

2. The Content of Bilateral Investment Treaties

Most BITs follow a standard format whereby they provide a definition of investment and investors; the standards of protection of investment, which includes protection against expropriation (both direct and indirect expropriations), and nationalization; compensation in the event of expropriation; the principles of non-discrimination; most-favoured nation treatment; national treatment; fair and equitable treatment, and an international dispute resolution mechanism. More recent BITs have also started to include provisions for regulatory expropriation primarily in favour of environmental protection.

The host States have, by and large, accepted the Hull formula and agreed to the provisions favoured by the home or investor countries when it came to negotiating bilateral investment treaties, regardless of the negotiating position taken by various States on international platforms. While the debate was taking place within the UN about the codification and progressive development of the law of foreign investment, the business of regulating foreign investment through bilateral investment treaties gathered pace outside of the UN. Those developed countries who wanted to protect investment by their nationals in foreign countries also wanted to conclude BITs of *sui generis* or *lex specialis* character rather than wait for international legislation under the auspices of the UN. Most of these treaties incorporated provisions more akin to the traditional position taken by the developed countries such as the Hull formula. When new regional trading blocs such as NAFTA were created to promote the free flow of capital, goods and services among the countries of the region they, too, followed the pattern of bilateral investment treaties.

The practice of conforming to the Hull formula and offering as many incentives as possible to foreign investors through a BIT was confined to the treaties concluded not only between one developed country and another, but also between the developed and developing countries. Therefore, the law on foreign investment has been understood in many quarters to be the law as incorporated in the modern bilateral and regional investment treaties. When the international efforts to conclude an internationally acceptable treaty or a mandatory code of conduct within the UN remained unsuccessful, increasing numbers of States (including those leading developing countries which had championed the international regulation of foreign investment) also started concluding bilateral investment treaties along the pattern favoured by the developed countries. This is one reason why greater weight has been accorded to the content of such treaties in determining what the law is on foreign investment.

When the developing countries themselves started competing with each other for foreign direct investment that was flowing from developed countries into developing countries, they were in competition to offer greater incentives to foreign investors. Thus, they agreed to provisions designed to strengthen the position of foreign investors. The term 'investment' itself was defined as broadly as possible so as to accord protection to all conceivable forms of investment under the treaties, including asset-based investments (eg portfolio investment). Of course, there are some BITs that exclude portfolio investment from the definition of the term 'investment', but the general trend seems to be to include

it. For instance, a bilateral investment treaty concluded between Jordan and the USA in July 1997 defines the term 'investment' as comprehensively as possible in Article I (d) in the following terms:

'[I]nvestment' of a national or company means every kind of investment owned or controlled directly or indirectly by that national or company, and includes investment consisting or taking the form of:

- (a) a company;
- (b) shares, stock, and other forms of equity participation, and bonds, debentures, and other forms of debt interests, in a company;
- (c) contractual rights, such as under turnkey, construction or management contracts, production of revenue-sharing contracts, concessions, or other similar contracts;
- (d) tangible property, including real property; and intangible property, including rights, such as leases, mortgages, liens, and pledges;
- (e) intellectual property rights, including copyrights and related rights, industrial property rights, patents, rights in plant varieties, utility models, industrial designs or models, rights in semiconductor layout design, indications of origin, trade secrets, including know-how, confidential business information, trade and service marks, and trade names; and rights conferred pursuant to law, such as licenses and permits.

With regard to the treatment and protection of investment, the Jordan-USA treaty is illustrative of the practice of States. The provisions included in Article II of the treaty are typical of the trend of the 1990s:

Treatment and protection of investment

With respect to the establishment, acquisition, expansion, management, conduct, operation and sale or other disposition of covered investments, each contracting party shall accord treatment no less favourable than that it accords, in like situations, to investments in its territory of its own nationals or companies (hereinafter 'national treatment') or investments in its territory or nationals or companies of a third country (hereinafter 'most favoured nation treatment'), whichever is most favourable (hereinafter 'national and most favoured nation treatment'). Each contracting party shall ensure that its state enterprises, in the provision of their goods or services, accord national and most favoured nation treatment to covered investments...

The Jordan-USA BIT goes on to state that each contracting party 'shall at all times accord to covered investments fair and equitable treatment and full protection and security, and shall in no case accord treatment less favourable than that required by international law.' With regard to expropriation and nationalization the BIT provides the following protection:

1. Neither contracting party shall expropriate or nationalize a covered investment either directly or indirectly through measures tantamount to expropriation or nationalization ('expropriation') except for a public purpose; in a non-discriminatory manner; upon payment of prompt, adequate and effective compensation; and in accordance with due process of law and the general principles of treatment provided for in Article II(3).
2. Compensation shall be paid without delay; be equivalent to the fair market value of the expropriated investment immediately before the expropriatory action was taken ('the date of expropriation'); and be fully realisable and freely transferable. The fair market

value shall not reflect any change in value occurring because the expropriatory action had become known before the date of expropriation.²⁸

However, a bilateral investment treaty concluded in 1994 between India and the UK varies slightly from other BITs. The Indo-UK Treaty does not fully subscribe to the Hull formula in respect of every type of expropriation or nationalization. Rather, it speaks of 'fair and equitable compensation' as opposed to 'prompt, adequate and effective' compensation with regard to most forms of foreign investment and 'prompt, adequate and effective' compensation only with regard to compensation for foreign shareholders in an expropriated company. The provision concerning the nationalization and expropriation of foreign investment admits the possibility of expropriation and nationalization not simply for 'a public purpose', but for 'a public purpose related to the internal requirements for regulating economic activity'.²⁹

3. Dispute Resolution

One of the main reasons why foreign investors wish to see the conclusion of a BIT is for a separate or distinct international dispute resolution mechanism for disputes arising out of the interpretation or application of the provisions of the treaty. A demand of this nature springs from a vote on the part of foreign investors of no confidence in the ability of the national judiciary to provide impartial, speedy and effective justice in the event of a dispute between a host State and a foreign investor. Indeed, the judiciary in many developing countries, especially those not fully democratic or lacking a long tradition of democracy, is not always as independent as it should be, and may be full of political cronyism, corruption, and inefficiencies.

Foreign investors who invest in such countries with weaker reputations, especially those who make longer-term investments and commit sizeable capital to such countries, seek an assurance against political risks; one of the means of providing that assurance is through a promise to remove a dispute with the host government out of the jurisdiction of that country, thus to an international court or tribunal that is generally independent and impartial and can provide effective, speedy and efficient justice. Against this background most BITs provide for an international dispute settlement mechanism. There are two kinds of disputes that can arise in relation to BITs: first, between a foreign investor and investor-receiving country also known as a host country and, second, between the contracting parties themselves. With regard to the former kinds of disputes most BITs include a provision for settlement of such disputes by international investment tribunals. For instance, one of the recent BITs concluded by India and Nepal in 2011 provides the following mechanism:

Article 9: Settlement of Disputes between an Investor and a Contracting Party

- (1) Any dispute between an investor of one Contracting Party and the other Contracting Party in relation to an investment of the former under this Agreement shall, as far as possible, be settled amicably through negotiations between the parties to the dispute.
- (2) Any such dispute which has not been amicably settled within a period of six months may, if both parties agree, be submitted:
 - (i) for resolution, in accordance with the law of the Contracting Party which has admitted the investment to that Contracting Party's competent judicial, arbitral or administrative bodies; or

²⁸ 36 ILM 1498 (1997).

²⁹ 34 ILM 935 (1995).

(ii) to international conciliation under the Conciliation Rules of the United Nations Commission on International Trade Law.

- (3) Should the parties fail to agree on a dispute settlement procedure provided under paragraph (2) of this Article or where a dispute is referred to conciliation but conciliation proceedings are terminated other than by signing of a settlement agreement, the dispute may be referred to Arbitration.³⁰

This is an elaborate and flexible mechanism with a number of options for the settlement of disputes between, on the one hand, an Indian investor and the Government of Nepal and, on the other, a Nepalese investor and the Indian Government. The emphasis is very much on a negotiated settlement of disputes. Only when negotiations fail to produce a mutually satisfactory outcome will the other options, including referring the matter to an international arbitration, arise. Only when the options of negotiation and conciliation fail to produce a mutually satisfactory outcome and both of the disputing parties have failed to agree to refer the matter to national judicial, arbitral or administrative bodies of either country can a dispute be referred to an international arbitration. Even then it is not mandatory to refer the matter to permanent arbitration mechanisms such as ICSID. The matter can be referred to any permanent or *ad hoc* arbitration operating under the rules of UNCITRAL.

4. Free Trade Agreements

The newest generation of trade and investment treaties concluded by the USA with other States are the so-called 'free trade agreements'. These are some of the most ambitious and comprehensive bilateral treaties ever concluded in the history of international economic relations. For instance, the massive 800-page treaty concluded with Chile in June 2003 and the even longer 1,400-page treaty with Singapore in May 2003 contain detailed provisions on foreign investment, spelling out many of the key terms and phrases whose definition has dogged the debate on the law of foreign investment for so long.³¹

5. The Significance of Bilateral Investment Treaties

In the view of many international tribunals and publicists, the law on foreign investment at this juncture seems to be the law supported, albeit not created, by the provisions of the BITs and regional treaties such as NAFTA. Indeed, although the individual BITs could be regarded as *lex specialis*, it is difficult to deny that the practice of States in concluding such treaties is capable of strengthening the rules of customary international law on the subject-matter. These treaties have been regarded by international tribunals in various cases as a source of law.

The BITs concluded since the introduction of ICSID in the mid-1960s made investor-to-State dispute resolution possible for the first time. Under a typical BIT, an investor is entitled to take a host State to a binding, third-party arbitration, typically under the rules of the ICSID, to settle any disputes involving the interpretation of the application of the BIT. Should the host State refuse to participate, the BIT made provision for an appointing authority to appoint arbitrators on behalf of the host State to enable the arbitration to proceed even without the cooperation of the host State. This constituted an innovation in the history of dispute settlement at the international level.

Thus, the BITs allow the home or investor countries to extricate themselves from involvement in private investment disputes without diminishing the effectiveness of the remedies

available to investors. This is because prior to the BIT era, investors from a country had to look to the government of their own country for assistance when their investment was expropriated or unlawfully impaired by a foreign government. Diplomatic protection was the only avenue open to such investors since there were no binding, third-party dispute settlement mechanisms available for foreign investors and host States could invoke sovereign immunity and the act of State doctrine before any municipal courts. The dispute acquires a political character when the State machinery decides to espouse a claim and pursue a remedy on behalf of its private investors through diplomatic channels or international arbitration or to impose economic sanctions on the alleged wrongdoer.

There is no need for government intervention and the politicization of investment disputes when an effective dispute settlement mechanism such as the ICSID is available to private foreign investors. Thus, one of the major positive contributions made by the BITs is the 'depoliticization' of investment disputes.

C. REGIONAL INVESTMENT TREATIES

In the absence of a global treaty on foreign investment, both BITs and regional treaties have sought to fill the vacuum and lead the way. This is especially the case with the North American Free Trade Agreement (NAFTA). At the time of its adoption, the provisions of this regional treaty provided far more protection to foreign investors than accorded hitherto in customary international law. The NAFTA set the trend for much greater protection of foreign investment throughout the 1990s, whether it be through the BITs, the TRIMS agreement of the WTO or other regional treaties.

The Energy Charter Treaty of 1994 includes equally greater protection for foreign investment than that accorded under customary international law. In the absence of a global treaty, bilateral investment treaties have been the main instruments regulating foreign investment. They have been used successfully by investor countries constantly to expand the level of protection accorded to foreign investors by host States. There is some evidence to suggest that BITs have increased foreign investment; they certainly have instilled a sense of security in foreign investors. These treaties have provided the assurance to foreign investors that should something go wrong within the host States due to governmental interference then they have an international legal remedy. BITs have made a significant contribution to the development of the international law of foreign investment.

D. THE CASE LAW ON THE TREATMENT OF FOREIGN INVESTMENT

The jurisprudence developed by international courts and tribunals with regard to the standard of treatment of foreign investors, with particular focus on issues concerning expropriation in its various forms, have played a crucial role in the development of the law of foreign investment. Some of the standard-setting decisions of the International Court of Justice, the Iran-USA Claims Tribunals and other *ad hoc* tribunals, such as those established under the ICSID, have had far-reaching implications for the development of international investment law. This is because, in the absence of a global comprehensive treaty on the regulation of foreign investment, the decisions of international courts and tribunals have 'fleshed out' the customary international law principles of the law of foreign investment on, *inter alia*, the definition of expropriation and nationalization, and the determination of the quantum of compensation. In doing so, they have extended the frontiers of the law especially in relation to expropriation and compensation.

³⁰ See, for text of the Agreement: <http://www.unctadxi.org/templates/DocSearch.aspx?id=779>.

³¹ For text see <http://www.ustr.gov/new/fta/chile.htm>.

Where the main principles pertaining to the area are not fully settled and the State practice and the efforts made within and outside of the UN point in conflicting directions, the decisions of international courts and tribunals on these matters have been relied upon to deduce the rules applicable not only to expropriation and compensation, but also to the meaning of the terms 'fair and equitable treatment', the 'due process of law', and 'full protection and security'.

Traditionally, international courts, claims commissions and tribunals have relied upon the international law of State responsibility regarding the treatment of aliens to provide legal remedy to foreign investors when their investments were expropriated or unlawfully impaired by a foreign government. For instance, supporting the idea behind diplomatic protection, the Permanent Court of International Justice held in the *Mavrommatis Palestine Concessions* case that:

It is an elementary principle of international law that a state is entitled to protect its subjects, when injured by acts contrary to international law committed by another state, from whom they have been unable to obtain satisfaction through the ordinary channels.³²

Cases such as the *Neer* claim (*US v Mexico*) support the notion that international law required States to treat aliens according to an international minimum standard. Indeed, the *Neer* claim decided by the Mexico-US General Claims Commission in 1926 has been relied upon to support the doctrine of an international minimum standard of treatment of foreign investors in international law.³³ The classic and often cited case pronouncing the standard of treatment to be accorded to foreign investors is the *Chorzów Factory* case, in which the Permanent Court of International Justice relied on the doctrine of State responsibility to provide legal remedy to Germany. After finding that Poland had violated the Geneva Convention of 1922 between Germany and Poland on Upper Silesia, the Court held that 'it is a principle of international law, and even a general conception of law, that any breach of an engagement involves an obligation to make reparation.' The Court held that:

The essential principle contained in the actual notion of an illegal act—a principle which seems to be established by international practice and in particular by decisions of arbitral tribunals—is that reparation must, as far as possible, wipe out all the consequences of the illegal act and re-establish the situation which would, in all probability, have existed if that act had not been committed.³⁴

The opinion of the court in this case has been relied upon heavily by international courts and tribunals established in later years, among which the Iran-USA Claims Tribunal is a prominent example. There is a great deal of literature on defining what constitutes a 'taking of property', commonly known as expropriation or nationalization. The meaning of these terms has also been the preoccupation of international courts and tribunals on a number of cases referred to them. Some of the more recent cases seek to cover not only direct, express or outright cases of the compulsory taking of foreign property, but also indirect 'constructive taking' or 'creeping expropriation' such as that considered by the ICJ in the *ELSI* case.³⁵

Many of the decisions of international tribunals, especially those of the Iran-USA Claims Tribunal, have followed the definition of taking of property in various decisions

of the PCIJ and the ICJ. For instance, in the *Starrett Housing Corporation v Iran* (*interlocutory order*) the Tribunal held that since the Starrett company, an American company, had been deprived of the effective use, control and benefits of their property rights by the Government of Iran in the aftermath of the Islamic Revolution, this amounted to 'creeping' or 'constructive' expropriation:

It is recognised in international law that measures taken by a state can interfere with property rights to such an extent that these rights are rendered so useless that they must be deemed to have been expropriated, even though the state does not purport to have expropriated them and the legal title to the property formally remains with the original owner.³⁶

In the *Amoco International Finance Corporation v Iran* case, the issue involved was the nationalization of the Iranian oil industry under the Single Article Act in the aftermath of the Islamic Revolution during which *Khemco*, an Iranian company jointly owned and managed by Amoco, was also nationalized. In delivering its award the Tribunal held that:

Expropriation, which can be defined as a compulsory transfer of property rights, may extend to any right which can be the object of a commercial transaction i.e. freely sold and bought, and thus has a monetary value. It is because Amoco's interests under the Khemco Agreement have such an economic value that the nullification of those interests by the Single Article Act can be considered as a nationalisation.³⁷

Thus, the lawful taking of foreign property is expropriation which would attract compensation, but illegal expropriation or confiscation such as that which occurred in relation to *Chorzów Factory* would give rise to State responsibility and attract reparation or restitution.

The ICSID tribunals have in recent years made their own contribution to clarifying the standard of treatment and nature of compensation available to foreign investors. For instance, in the *SD Myers Inc. v Canada* case, an ICSID tribunal sitting under the NAFTA drew, citing the *Chorzów* pronouncements, a clear distinction between the standard of compensation for otherwise lawful expropriation, on the one hand, and on the other the measure of damages for unlawful expropriation resulting from discrimination or violation of treaty obligations.³⁸

In the *Asian Agricultural Products Ltd v Republic of Sri Lanka* case an ICSID tribunal established Sri Lanka's State responsibility for failing to take the appropriate precautionary measures to protect the interests of Asian Agricultural Products, a British company having its business in an area where fighting was taking place between the government and rebel forces.³⁹

VI. CONCLUSION

Over the centuries the law of foreign investment has evolved in response to both the economic and political realities of the world. The developing countries sought in the 1960s, 1970s, and 1980s to regulate foreign investment through an international instrument, rather than leaving the matter to international customary law. The idea was to impose certain conditions on foreign investors, including TNCs, requiring them, among other

³² *Mavrommatis Palestine Concessions*, Judgment No 2, 1924, PCIJ, Ser A, No 2, p 12.

³³ *Neer* claim (*US v Mexico*) (1926), 4 RIAA 60.

³⁴ *Factory at Chorzów, Merits*, Judgment No 13, 1928, PCIJ, Ser A, No 17, at p 29.

³⁵ *Eletronica Sicula SpA (ELSI)*, Judgment, ICJ Reports 1989, p 15, para 119.

³⁶ *Starrett Housing Corporation v Iran* (*Interlocutory Order*) 23 ILM 1090 (1984); 4 Iran-US CTR 122 (1983).

³⁷ *Amoco International Finance Corporation v Iran*, 15 Iran-US CTR 189 (1987).

³⁸ http://www.naftalaw.org/disputes_canada_sdmyers.htm; NAFTA Ch 11 Arbitration Tribunal, 2000-2002.

³⁹ *Asian Agricultural Products Ltd v Republic of Sri Lanka* (1991) 30 ILM 577.

duties, to use local raw material, to employ local people, and to refrain from interfering in the internal affairs of the host States.

However, in the 1990s these very developing countries became reluctant to support the notion of the regulation of foreign investment under the auspices of the WTO. When the developing countries sought to regulate foreign investment under the auspices of the UN, many developed countries resisted the attempt, perhaps fearing that such an international instrument would be more in the interests of host States than of the home States. An attempt was made through the OECD to adopt an international agreement on foreign investment; the developing countries opposed it, fearing that the instrument would be in the greater interest of home States than of the host States. This is also the reason why many developing countries were opposed to the regulation of foreign investment under the auspices of the WTO.

Thanks to globalization neither the host nor home countries are able to regulate or control the activities of foreign investors in general or the multinational enterprises (MNEs) in particular. While the people in developing nations are concerned about violations of human rights and degradation of the environment by the MNEs, those in the developed countries are concerned that MNEs are relocating or outsourcing their business operations to developing countries in order to avoid tax, to escape from environmental compliance and other regulatory regimes, to exploit cheap labour, and to pursue profit at the expense of other responsibilities. The interests of both developed and developing countries seem to be converging gradually towards the adoption of an international agreement to regulate foreign investment.

What is required is to balance the interests of both host and home countries. There is a plausible case in favour of the conclusion of a comprehensive international treaty on foreign investment. Unless there is a chance perhaps within the WTO to revive the negotiations for a treaty on foreign investment, the matter should be referred back to the UN, after which either the ECOSOC or UNCTAD should be entrusted with the task of developing and negotiating such a treaty.

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UNCTAD BITs Online:

http://www.unctadxi.org/templates/DocSearch___779.aspx

This website contains a search engine which enables one to find BITs online.

www.ita.law.uvic.ca

It provides access to all publicly available investment treaty awards and information and resources relating to investment treaties and investment treaty arbitration.

<http://www.worldbank.org/icsid>

This is the website of ICSID which was established under the Convention on the Settlement of Investment Disputes between States and Nationals of Other States. Most of the ICSID awards are available here.